

Cumulus Bank

Wealth management from Cumulus Bank



WEALTH MANAGEMENT · TRUST SERVICES

WM-TRU-SNT-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · SPECIAL NEEDS PLANNING

Cumulus Special Needs Trust

Corporate trustee services for trusts that supplement — but do not replace — needs-based public benefits for a beneficiary with a disability, preserving eligibility for Supplemental Security Income and Medicaid.

TRUST TYPES	First-party (d)(4)(A), Third-party, Pooled (d)(4)(C)
ROLE AVAILABLE	Trustee · Co-trustee · Successor trustee
AUTHORITY	42 U.S.C. §1396p(d)(4); POMS SI 01120.200–.203
PURPOSE	Supplement, not supplant, public benefits
MINIMUM ANNUAL FEE	\$5,000
STANDARD FEE TIER	0.95% on first \$2M, tiered thereafter
PAYBACK PROVISION	Required for (d)(4)(A) at beneficiary's death
ABLE ACCOUNT COORDINATION	Available for qualifying individuals



AT A GLANCE

Overview

A Special Needs Trust (SNT) is a trust specifically designed to hold assets for a person with a disability in a manner that does not disqualify the beneficiary from needs-based public benefits such as Supplemental Security Income (SSI) and Medicaid. The trust is administered by a trustee who makes discretionary distributions to providers of goods and services that supplement — but do not supplant — the public benefits to which the beneficiary is entitled. Cumulus, through its trust affiliate, serves as corporate trustee, co-trustee, or successor trustee.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. The public-benefits analysis and the specific SNT structure appropriate for a given family depend on state law and the beneficiary's circumstances; discuss your situation with your Cumulus advisor and elder-law attorney.

THE CORE PROBLEM IT SOLVES

Why families use a Special Needs Trust

PROTECT BENEFIT ELIGIBILITY Protect benefit eligibility SSI imposes a \$2,000 resource limit (single), and Medicaid eligibility is similarly means-tested. An outright inheritance can disqualify the beneficiary. Assets in a properly drafted SNT are not countable resources.	PRESERVE FAMILY WEALTH FOR CARE Preserve family wealth for care Funds remain available to pay for services, therapies, equipment, travel, and companionship costs that public benefits do not cover.
AVOID UNINTENDED DISINHERITANCE Avoid unintended disinheritance Parents and grandparents can include the disabled beneficiary in the family's overall estate plan without triggering a loss of benefits.	PROFESSIONAL ADMINISTRATION Professional administration A corporate trustee brings continuity across the beneficiary's lifetime, objective distribution decisions, and experience with POMS (the SSA's Program Operations Manual System) guidance.
LIFETIME PLANNING HORIZON Lifetime planning horizon An SNT is often the centerpiece of a multi-decade plan that coordinates housing, healthcare, guardianship, and employment considerations.	COORDINATION WITH ABLE ACCOUNTS Coordination with ABLE accounts A tax-advantaged ABLE account (IRC §529A) may be used alongside an SNT for qualifying individuals who became disabled before age 46.

CHOOSE BASED ON THE SOURCE OF FUNDS

The three principal SNT structures

STRUCTURE	SOURCE OF FUNDS	DISTINGUISHING FEATURES
First-party — 42 U.S.C. §1396p(d)(4)(A)	Assets owned by (or payable to) the beneficiary — typically a personal-injury settlement or an inheritance that arrived without planning.	Beneficiary must be under age 65 at funding; trust must require payback to state Medicaid agencies at the beneficiary's death; funded with the beneficiary's own money.
Third-party	Assets contributed by someone other than the beneficiary — typically parents, grandparents, or a family trust.	No age limit; no Medicaid payback required; remainder can pass to other family members at the beneficiary's death.
Pooled — 42 U.S.C. §1396p(d)(4)(C)	Assets pooled with those of other beneficiaries, administered by a non-profit organization with separate accounting.	Generally no age restriction; Medicaid payback required (to the extent not retained by the nonprofit); useful for smaller account sizes.

SUPPLEMENT, NOT SUPPLANT

What an SNT can and cannot pay for

The trustee of a properly structured Special Needs Trust should avoid direct cash distributions to the beneficiary and avoid paying for food or shelter in a manner that triggers the SSA's 'in-kind support and maintenance' (ISM) reduction in SSI benefits. Instead, the trustee pays third-party providers directly for goods and services that improve the beneficiary's quality of life. POMS SI 01120.200 through SI 01120.203 are the primary SSA guidance.

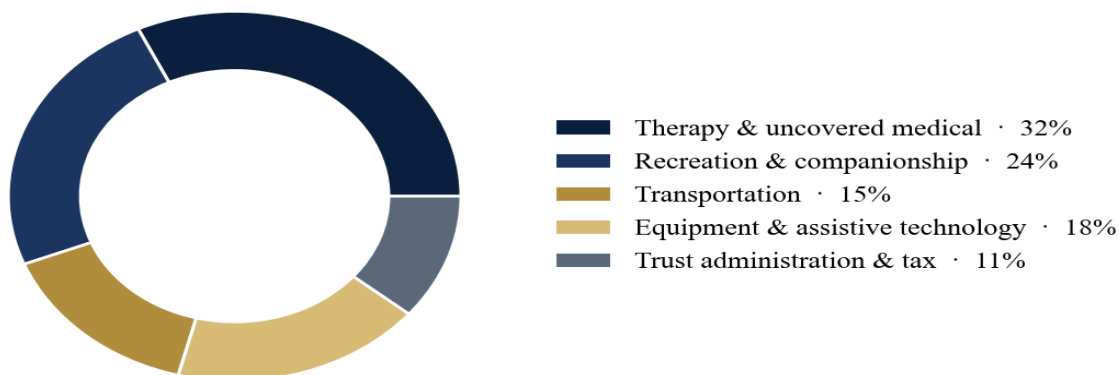
CATEGORY	TYPICALLY ALLOWABLE	NOT RECOMMENDED / WATCH-OUTS
Shelter	Home modifications for accessibility, assistive technology.	Direct rent or mortgage payments reduce SSI under ISM; review with counsel before paying shelter expenses.
Food	Specialized dietary needs prescribed by a medical professional.	General groceries reduce SSI under ISM.
Medical and therapy	Uncovered therapy, dental, vision, hearing aids, service animals, experimental treatment.	Treatments reimbursable by Medicaid; the trust should not duplicate available benefits.
Transportation	Accessible vehicle, vehicle modifications, travel expenses.	Gifting a vehicle directly to the beneficiary may be a countable resource.
Recreation, education, companionship	Travel, camps, education, entertainment, companion care.	Direct cash is a countable resource; pay providers directly.
Personal care	Clothing, grooming, personal-care attendants.	Most personal-care items are now allowable after 2005 SSA guidance.

ILLUSTRATIVE DISTRIBUTION MIX

How the trust's dollars typically flow

The allocation below is an illustrative long-run distribution mix for a mid-sized third-party SNT supporting an adult beneficiary with a developmental disability living in a supported living arrangement. Every family is different; the actual distribution pattern depends on the beneficiary's needs, housing arrangements, and public-benefits status.

Illustrative annual SNT distribution composition



WHAT CUMULUS DELIVERS

Fiduciary duties of the SNT trustee

Public-benefits coordination

- Familiarity with Social Security POMS, state Medicaid waiver programs, and SSI income-and-resource rules.
- Coordination with benefits counselors, case managers, and state agencies.
- Careful structuring of distributions to avoid ISM reductions and to preserve Medicaid eligibility.
- Notice to state Medicaid agencies and other reporting required under applicable trust terms.
- Evaluation of ABLE-account coordination for beneficiaries with a qualifying disability onset before age 46 under SECURE 2.0 §124.

Investment and administration

- Investment consistent with the Uniform Prudent Investor Act and the trust's written investment policy.
- Consideration of the beneficiary's life expectancy, anticipated care costs, and inflation.
- Annual accounting and fiduciary tax returns (Form 1041, state equivalents) prepared by the Cumulus fiduciary tax group.
- Coordination with family, care coordinators, guardians, and conservators.
- At the beneficiary's death: final accounting, Medicaid payback (first-party SNTs), and remainder distribution.

IRC §529A

ABLE accounts — a useful companion tool

An ABLE account is a tax-advantaged savings account for individuals whose disability began before age 46 (age 26 for plans that have not yet adopted the SECURE 2.0 §124 expansion). Account earnings grow tax-deferred, and qualified distributions for 'qualified disability expenses' are tax-free. Balances up to \$100,000 are excluded as a resource for SSI purposes, and Medicaid treats ABLE accounts favorably. Many families pair an SNT with an ABLE account to enable the beneficiary to hold modest day-to-day spending funds with greater autonomy.

COMMON QUESTIONS

Frequently asked questions

How do we know whether we need a first-party or third-party SNT?

The distinction depends on the source of the funding. A first-party SNT is used when the assets belong to — or are payable to — the beneficiary (for example, a personal-injury settlement or an outright inheritance). A third-party SNT is used when the assets come from family members and have never belonged to the beneficiary. Only first-party SNTs require Medicaid payback.

Why not just leave my child's share outright?

An outright bequest of even a modest amount can disqualify a beneficiary from SSI and Medicaid, forcing the family to spend the inheritance down on care that would otherwise be covered. Equally important, an outright bequest deprives the beneficiary of the professional administrative support that an SNT provides across a lifetime.

Who can serve as trustee?

A family member, a professional fiduciary, a corporate trustee, or a combination. Many families appoint Cumulus as corporate trustee with a family member as co-trustee or trust protector. This combination provides institutional continuity with family oversight and personal knowledge of the beneficiary.

What happens at the beneficiary's death?

In a first-party (d)(4)(A) SNT, the trust must first reimburse the state Medicaid agency for benefits received; any remainder passes to the beneficiaries named in the trust. In a third-party SNT, no Medicaid payback is required, and the remainder passes in accordance with the trust terms — often to siblings, charity, or other family members.

How does the SNT coordinate with a will and guardianship?

An SNT is typically established during the lifetime of the parents (inter vivos) or at the second parent's death (testamentary). The will or revocable trust of each parent directs the child's share into the SNT. A guardianship or conservatorship may coexist; the trustee administers the trust, the guardian/conservator handles the beneficiary's person and day-to-day needs.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.

§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.



- § Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.
- § Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.
- § Trust services are offered through Cumulus Trust Company, N.A., a national trust bank and affiliate of Cumulus Bank, N.A. Acceptance of a fiduciary appointment is at the discretion of Cumulus Trust Company, N.A. following review of the trust instrument, the nature of the assets, and applicable state and federal benefits law.
- § Eligibility rules for SSI, Medicaid, and other needs-based public benefits vary by state and are subject to change. The description of these programs in this brochure is general and illustrative only. A qualified elder-law or special-needs attorney should be engaged before establishing or funding an SNT.
- § Cumulus does not provide legal or tax advice. Trust administration is conducted under the Uniform Prudent Investor Act and the applicable state Uniform Trust Code; investment products are not FDIC insured, not bank guaranteed, and may lose value.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

ONLINE

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.

PRIVATE OFFICE

Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.

Cumulus Bank, N.A. · NMLS #2026045 · Member FDIC · Equal Housing Lender · © 2026 Cumulus Bank, N.A. All rights reserved. Cumulus Bank is a fictitious institution created for demonstration purposes; the disclosures, rates, and product terms contained in this brochure are illustrative only and do not represent an actual financial product or offer of credit.